

China Banks

China bank pulse monthly – weak July RMB loans and economic data; watching for more policy easing ahead

Equities

China
 Banks, Ex-S&L

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H-share China banks outperformed while A-share underperformed in the past month

The MSCI China Banks Index was +4.7% in the past month, outperforming the MSCI China Index (+0.6%). Among our H-share coverage, CCB-H was the best performer (+7.0% MoM) and MSB-H was the laggard (-3.1%). For A-share banks, the sector index was +1.0% in the past month, underperforming CSI300 (+4.7%), with BOSH being the best performer (+3.9%) and BOBJ the worst (-1.6%).

July credit data: new RMB loans missed; TSF slightly beat expectations

July RMB loans remained weak and came in below market expectations. RMB loans contracted by a net Rmb340bn, versus the market estimate of a Rmb25bn increase. The weakness was broad-based, with declines across household and corporate loans as well as across tenors, though the July reading was slightly better than the same period last year. As expected, discounted bill financing remained strong at Rmb376bn, providing the main support for new RMB loans. New TSF reached Rmb1.4trn, Rmb271bn higher YoY and ahead of the market expectation of Rmb1.15trn. Corporate bond and special LG bond issuance were the key drivers, together contributing Rmb248bn more than a year earlier. Overall, loan growth moderated to 5.1% YoY, while TSF growth was stable at 7.4% YoY. Reflecting seasonal factors, household deposits declined Rmb630bn, while NBFIs deposits increased Rmb1.1trn. M1 growth held steady at 4.0% YoY, while M2 growth edged down to 7.7% YoY.

Topic of the month: weak economic data calls for stronger policy support

July economic data came in weaker than expected across the board, with retail sales, exports and industrial value-added growth all easing, property sales declining, and the contraction in fixed asset investment widening. The unusually delayed release by the NBS until after market close may suggest that the weakness was viewed as meaningful by policymakers. UBS economists expect policy to tilt further toward easing, with potentially faster fiscal spending through the rest of the year to support GDP growth, while additional LPR or RRR cuts are not yet market consensus. For banks, we think faster fiscal deployment through support for “Two Major” construction, “Two New” initiatives and the build-out of six strategic infrastructure networks could lift credit demand and support NII, provided there are no further policy rate cuts. Amid the softer macro backdrop, China banks could be viewed as a defensive play, underpinned by resilient fundamentals.

Our view: constructive on banks; Q226 to reinforce NIM stabilization and positive revenue growth

We remain constructive on China bank stocks, particularly those large SOE banks (H-share) offering dividend yields above 5%. Upcoming 2Q results should further reaffirm improving fundamentals, supported by NIM stabilisation and solid NII growth, although SOE banks’ revenue growth may ease slightly to 7.6% YoY in 2Q from 8.5% in 1Q due to a high base. We expect net profit growth to remain broadly stable QoQ, after rising 3.5% YoY in 1Q. Market rotation is now rapid, and banks should become attractive at certain points. Among individual names, we like CCB, ICBC, BOC, CITIC, BONB and BOHZ.

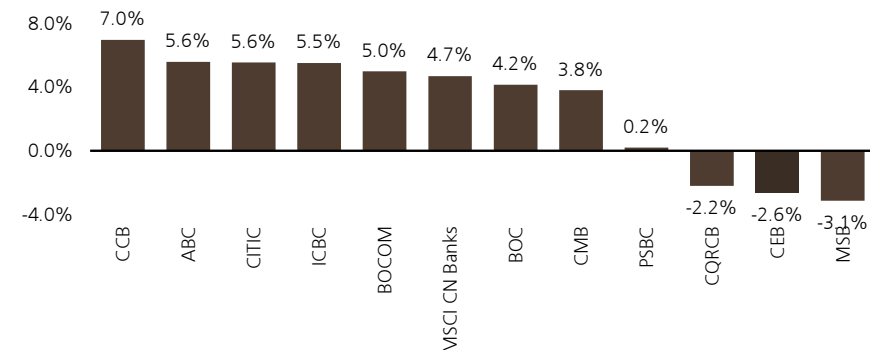
Figure 1: Monthly new TSF, TSF and RMB loan/deposit balance

	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
New monthly TSF (RMB bn)	1,131	2,566	3,530	818	2,493	2,208	7,219	2,384	5,224	624	2,029	3,367	1,402
TSF balance (RMB trn)	431.3	433.7	437.1	437.7	440.1	442.1	449.1	451.4	456.5	456.9	458.8	462.1	463.3
YoY growth	9.0%	8.8%	8.7%	8.5%	8.5%	8.3%	8.2%	8.2%	7.9%	7.8%	7.7%	7.4%	7.4%
Total RMB loans (Rmb trn)	268.5	269.1	270.4	270.6	271.0	271.9	276.6	277.5	280.5	280.5	281.0	282.6	282.3
YoY growth	6.9%	6.8%	6.6%	6.5%	6.4%	6.3%	6.1%	6.0%	5.7%	5.6%	5.5%	5.2%	5.1%
Total deposits (Rmb trn)	320.7	322.7	324.9	325.5	327.0	328.6	336.8	337.9	342.4	342.7	344.5	346.4	346.5
YoY growth	8.7%	8.6%	8.0%	8.0%	7.7%	8.7%	9.9%	8.7%	8.6%	8.9%	8.7%	8.2%	8.0%

Source: PBOC, UBS

Sector performance in the past month

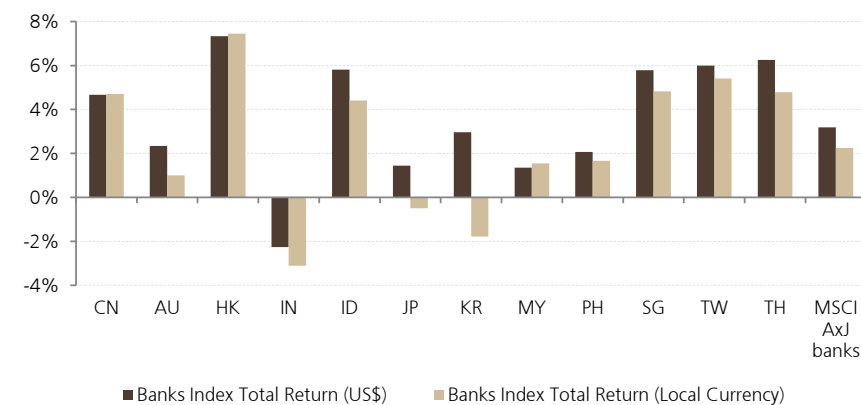
Figure 2: China banks' monthly performance over the past month - (H-shares)



CCB, ABC, CITIC, ICBC and BOCOM outperformed

Source: Datastream, UBS

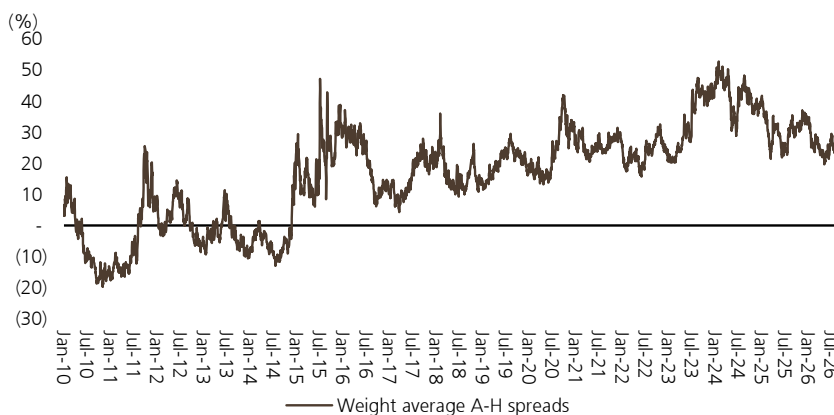
Figure 3: Regional comparison of performance over the past month



China banks in line with most of its major Asia peers

Source: Datastream, UBS

Figure 4: China banks - A/H spreads



A/H spread narrowed in the past month

Source: Wind, UBS estimates

Valuation table

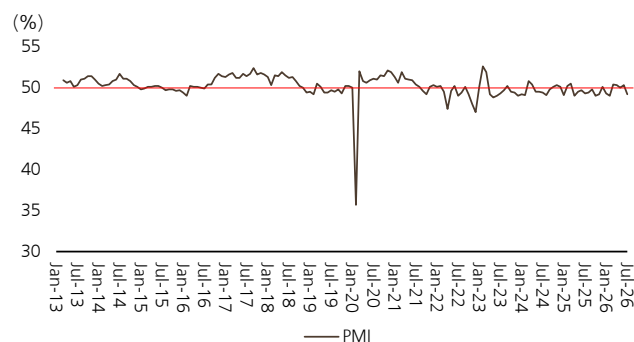
Figure 5: Valuation of China banks

	Ticker	Rating	Price (local)	PT (local)	Implied upside	Dividend yield	EPS growth		P/BV ratio		P/E ratio		ROAE	
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
ICBC	1398.HK	Buy	7.22	7.79	7.9%	5.2%	4.3%	4.9%	0.55x	0.52x	5.9x	5.7x	8.9%	8.8%
CCB	0939.HK	Buy	8.90	10.20	14.6%	5.2%	2.3%	4.5%	0.56x	0.53x	5.8x	5.5x	9.5%	9.3%
BOC	3988.HK	Buy	5.31	5.90	11.2%	5.2%	1.1%	4.8%	0.51x	0.48x	6.1x	5.8x	8.6%	8.5%
BOCOM	3328.HK	Buy	7.30	8.70	19.2%	5.4%	-2.7%	4.8%	0.49x	0.46x	5.9x	5.7x	7.8%	7.6%
CITIC	0998.HK	Buy	7.46	9.30	24.7%	6.1%	3.0%	4.9%	0.45x	0.42x	5.1x	4.9x	9.3%	9.1%
MSB	1988.HK	Buy	3.40	4.60	35.5%	6.4%	-8.8%	5.5%	0.21x	0.20x	4.7x	4.5x	4.5%	4.5%
CQRCB	3618.HK	Buy	6.31	7.80	23.7%	6.4%	10.8%	9.1%	0.43x	0.40x	4.7x	4.3x	9.4%	9.6%
CMB	3968.HK	Neutral	47.82	56.00	17.1%	4.8%	3.0%	4.9%	0.85x	0.78x	6.9x	6.6x	12.5%	12.1%
ABC	1288.HK	Neutral	5.90	5.85	-0.8%	4.9%	4.2%	5.2%	0.58x	0.55x	6.2x	5.8x	9.5%	9.4%
PSBC	1658.HK	Neutral	4.82	5.30	10.1%	5.4%	-3.9%	4.1%	0.48x	0.44x	5.8x	5.6x	8.4%	8.3%
Huishang	3698.HK	Neutral	4.77	5.90	23.7%	6.7%	10.2%	7.2%	0.35x	0.32x	3.2x	3.0x	10.9%	10.7%
H-share bank avg.						5.6%	2.1%	5.5%	0.50x	0.47x	5.5x	5.2x	9.0%	8.9%
CMB-A	600036.SS	Buy	38.20	53.00	38.7%	5.3%	2.6%	4.7%	0.77x	0.71x	6.4x	6.1x	12.7%	12.2%
MSB-A	600016.SS	Buy	3.41	4.70	37.8%	5.4%	-3.5%	6.4%	0.24x	0.24x	5.5x	5.2x	4.5%	4.5%
BONB	002142.SZ	Buy	32.19	39.00	21.2%	3.9%	10.5%	11.7%	0.86x	0.78x	6.7x	6.0x	13.3%	13.3%
BOJS	600919.SS	Buy	11.62	14.00	20.5%	5.3%	8.1%	8.6%	0.73x	0.65x	5.8x	5.4x	13.4%	13.0%
BONJ	601009.SS	Buy	11.27	13.50	19.8%	5.2%	5.7%	8.2%	0.69x	0.63x	5.9x	5.5x	11.9%	11.7%
BOHZ	600926.SS	Buy	16.25	19.60	20.6%	4.7%	3.1%	10.4%	0.77x	0.68x	5.5x	5.0x	14.5%	14.2%
CQRCB-A	601077.SS	Buy	6.54	7.70	17.7%	5.4%	8.3%	9.0%	0.52x	0.49x	5.7x	5.2x	9.5%	9.7%
CSRCB	601128.SS	Buy	6.10	7.50	23.0%	4.2%	6.8%	8.8%	0.65x	0.57x	5.0x	4.6x	14.0%	13.6%
BOCD	601838.SS	Neutral	18.03	20.60	14.3%	5.5%	3.0%	5.2%	0.78x	0.70x	5.4x	5.2x	14.9%	14.0%
ICBC-A	601398.SS	Neutral	7.56	7.70	1.9%	4.3%	4.4%	4.5%	0.68x	0.64x	7.2x	6.9x	9.0%	8.7%
CCB-A	601939.SS	Neutral	10.30	9.85	-4.4%	3.9%	1.5%	4.6%	0.72x	0.67x	7.8x	7.5x	9.5%	9.3%
BOC-A	601988.SS	Neutral	5.90	5.70	-3.4%	4.0%	1.7%	4.8%	0.66x	0.62x	7.8x	7.5x	8.7%	8.6%
ABC-A	601288.SS	Neutral	6.46	6.50	0.6%	3.9%	3.8%	5.0%	0.74x	0.70x	7.8x	7.5x	9.6%	9.4%
CITIC-A	601998.SS	Neutral	7.69	8.70	13.1%	5.2%	5.6%	5.1%	0.59x	0.56x	6.0x	5.7x	9.3%	9.3%
PSBC-A	601658.SS	Neutral	4.91	5.05	2.9%	4.5%	-4.2%	4.3%	0.55x	0.52x	7.0x	6.7x	8.2%	8.0%
Industrial Bank	601166.SS	Neutral	17.83	20.20	13.3%	6.1%	-0.5%	3.0%	0.42x	0.40x	4.9x	4.8x	8.8%	8.4%
PAB	000001.SZ	Neutral	11.10	11.50	3.6%	5.4%	1.1%	3.4%	0.44x	0.41x	5.1x	4.9x	8.8%	8.4%
BOCS	601577.SS	Neutral	9.22	10.10	9.5%	5.0%	4.9%	5.5%	0.47x	0.43x	4.4x	4.2x	11.2%	10.8%
BOSH	601229.SS	Neutral	9.43	9.50	0.7%	5.6%	0.7%	2.4%	0.51x	0.48x	5.6x	5.5x	9.5%	9.1%
BOBJ	601169.SS	Neutral	4.95	5.50	11.1%	6.1%	-22.8%	5.6%	0.34x	0.32x	5.5x	5.2x	6.6%	6.6%
Huaxia	600015.SS	Sell	6.59	5.10	-22.6%	6.5%	4.0%	0.2%	0.29x	0.28x	4.0x	4.0x	7.6%	7.3%
UBS A-share coverage avg.						5.0%	1.9%	5.7%	0.59x	0.54x	6.0x	5.7x	10.1%	9.9%

Source: Thomson Reuters, UBS estimates. Pricing date as of 17 August 2026.

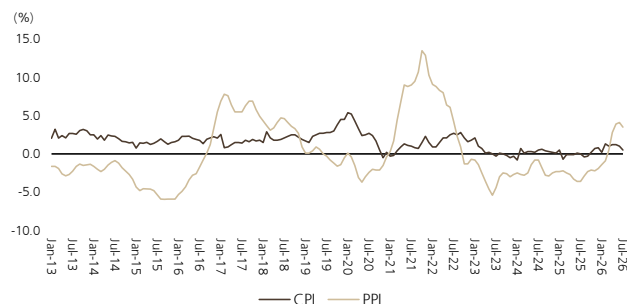
Macro indicators and policy rates

Figure 6: PMI



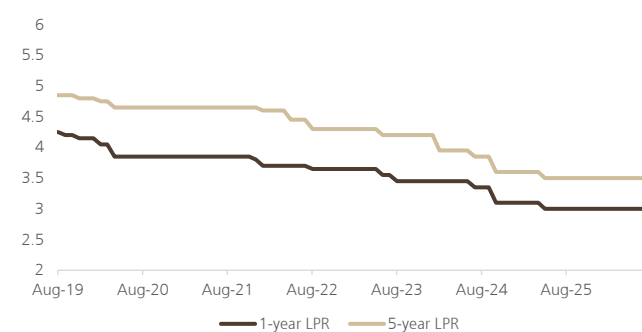
Source: Wind

Figure 7: PPI & CPI



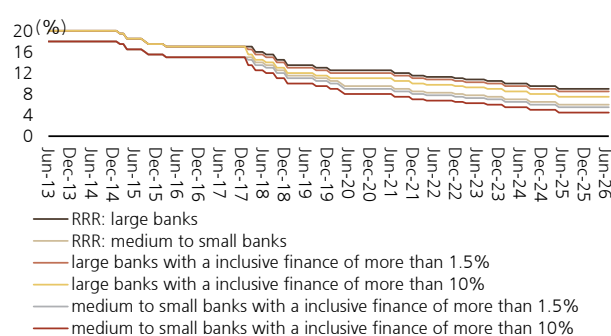
Source: Wind

Figure 8: Benchmark rate



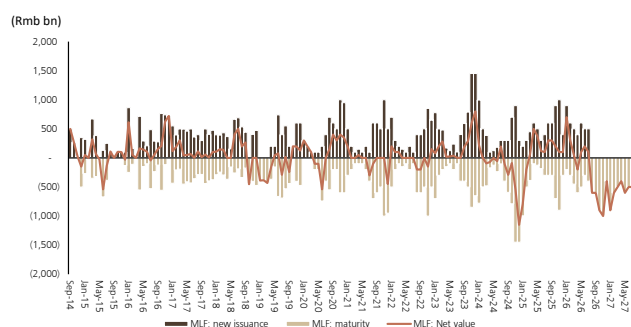
Source: Wind

Figure 9: Required reserve ratio



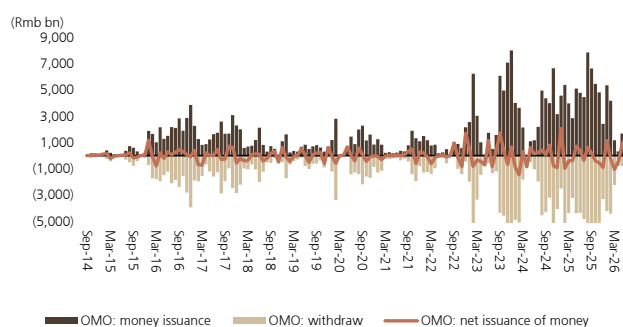
Source: Wind. Note: large banks include the big 6 SOE banks

Figure 10: MLF



Source: CEIC

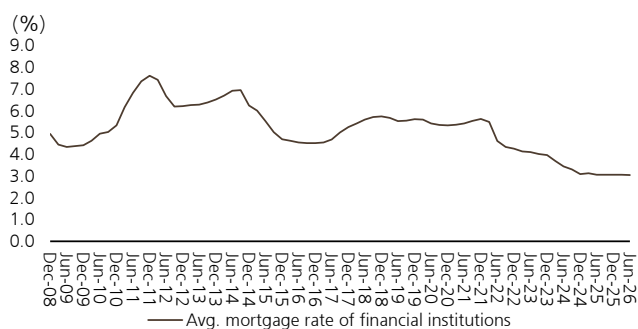
Figure 11: Open market operations



Source: Wind

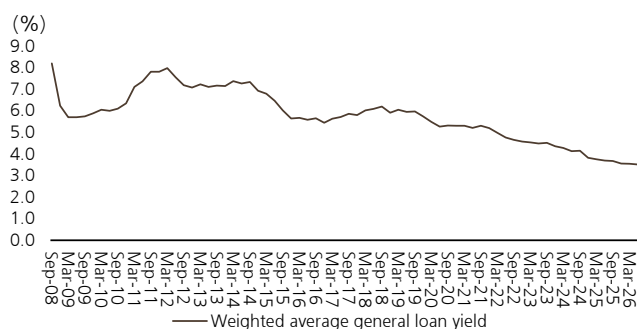
Financial market rates

Figure 12: Mortgage rate



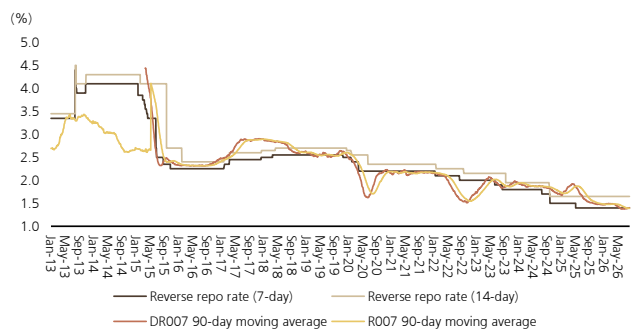
Source: Wind

Figure 13: Lending rate



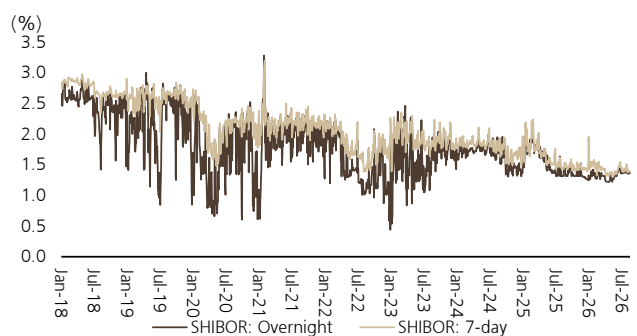
Source: Wind

Figure 14: Short-term interbank and open market rates



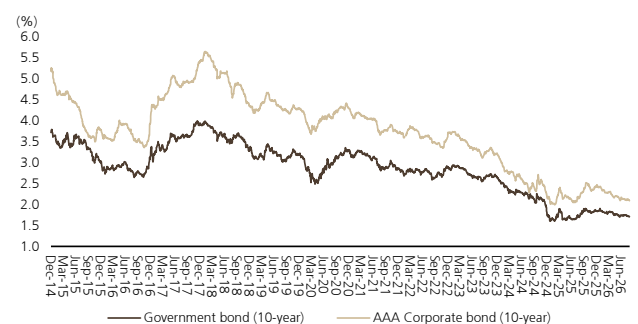
Source: Wind

Figure 15: Shibor



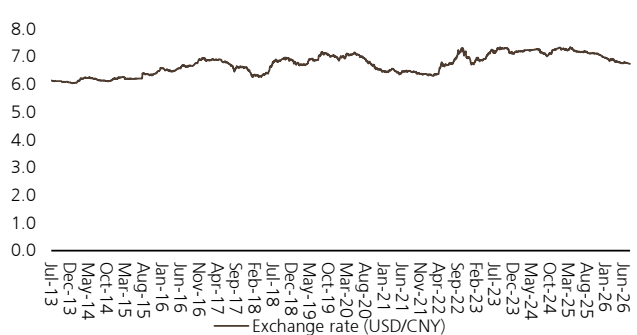
Source: Wind

Figure 16: AAA corporate/government bond yields



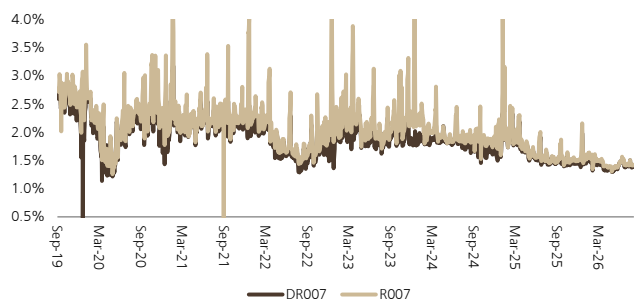
Source: Wind

Figure 17: USD/CNY exchange rate



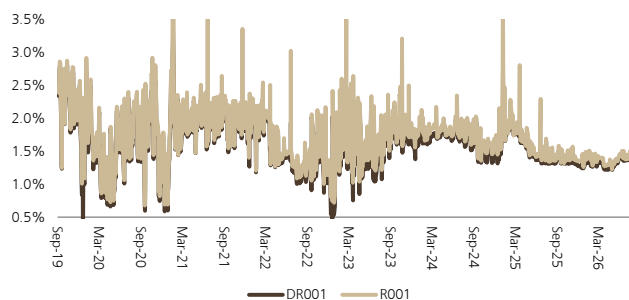
Source: Wind

Figure 18: DR007 VS. R007 rate



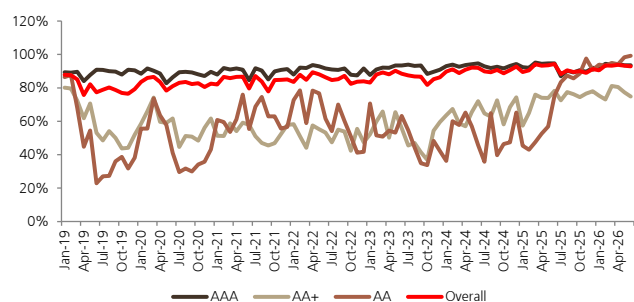
Source: Wind

Figure 19: DR001 VS. R001 rate



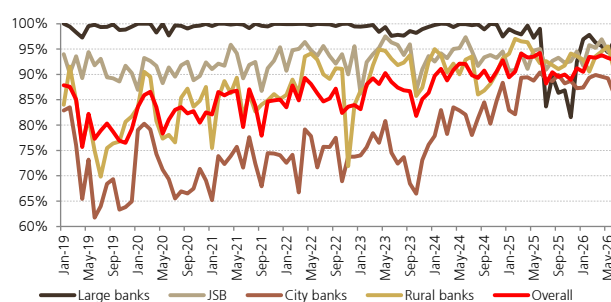
Source: Wind

Figure 20: Actual NCD issued as % of planned issuance amount - by rating



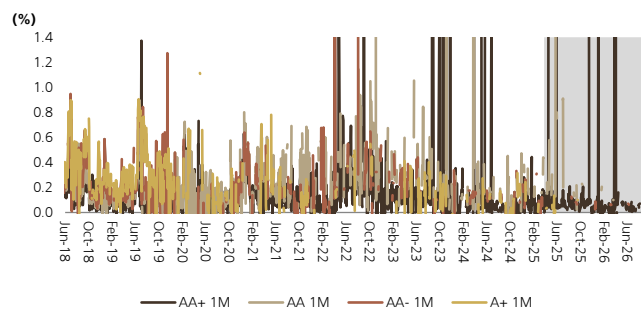
Source: Wind. Note: NCD=negotiable certificate of deposit

Figure 21: Actual NCD issued as % of planned issuance amount - by type of bank



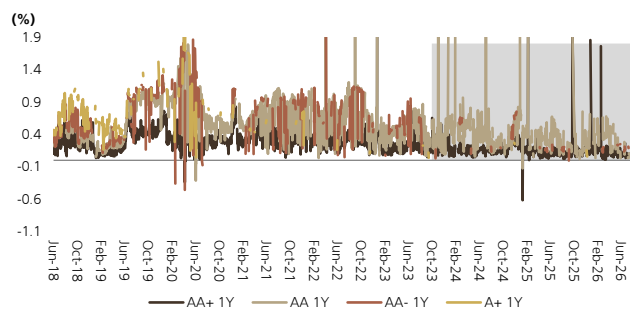
Source: Wind

Figure 22: Credit spread against AAA-rated NCD - 1M



Source: Wind

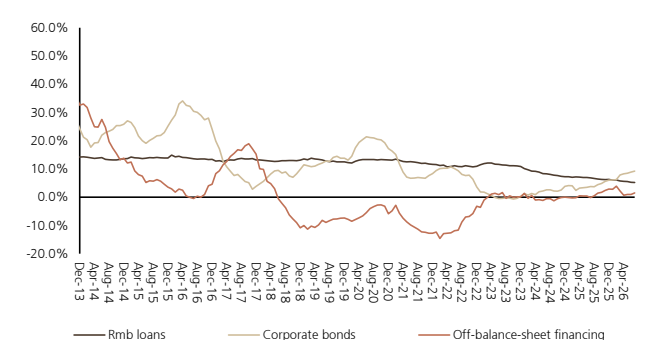
Figure 23: Credit spread against AAA-rated NCD - 1Y



Source: Wind

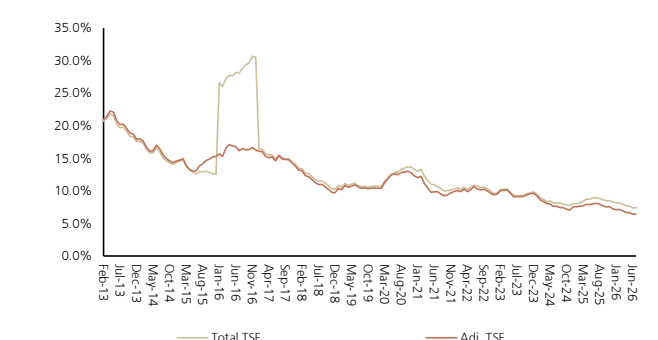
Banking sector data

Figure 24: Monthly TSF



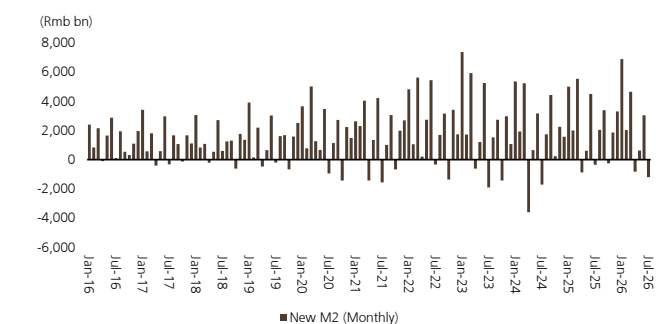
Source: CEIC

Figure 25: YoY growth of outstanding TSF and adjusted TSF



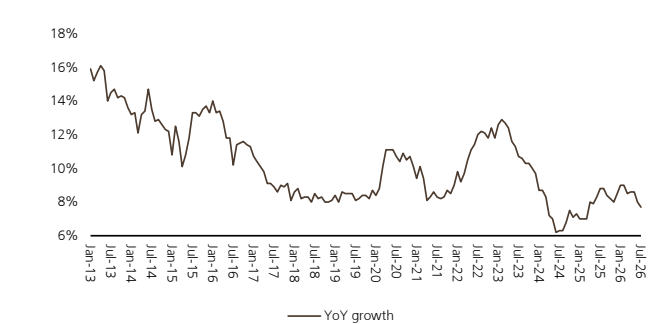
Source: CEIC

Figure 26: Monthly new M2



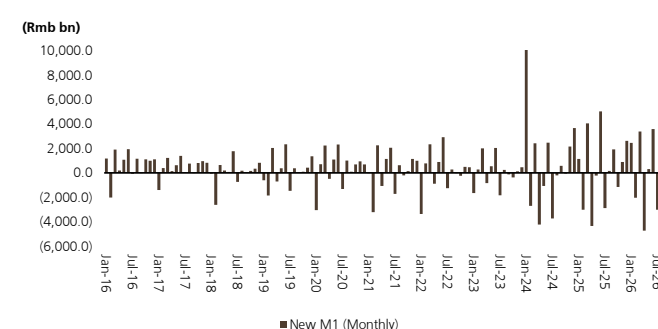
Source: Wind

Figure 27: YoY growth of outstanding M2



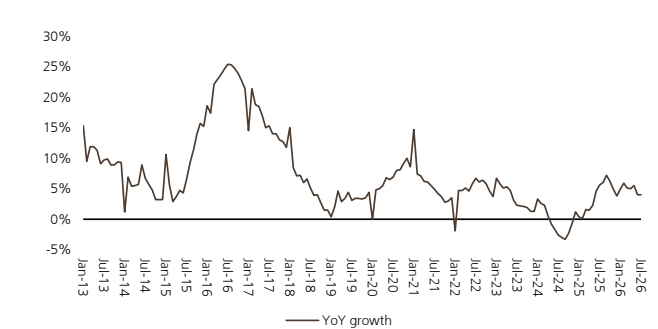
Source: Wind

Figure 28: Monthly new M1



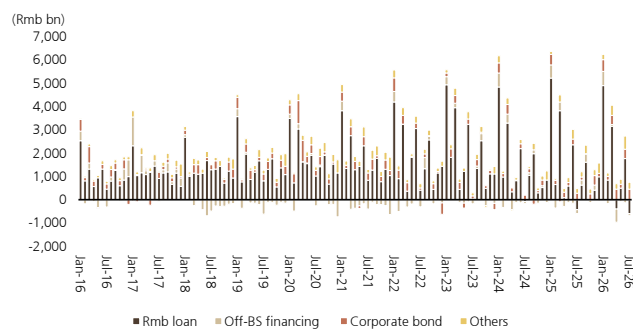
Source: Wind

Figure 29: YoY growth of outstanding M1



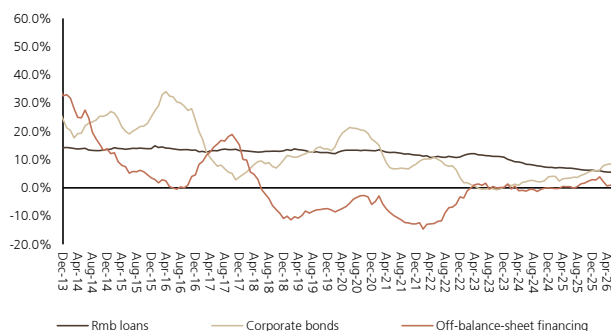
Source: Wind

Figure 30: Breakdown of new TSF



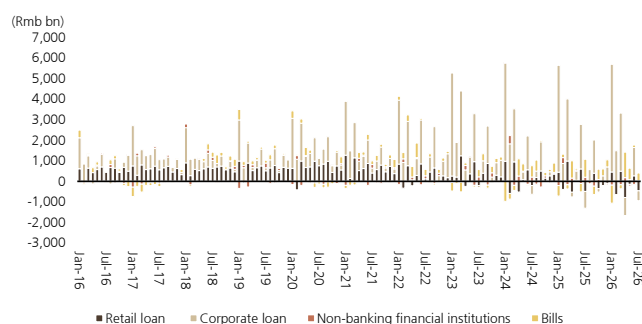
Source: Wind

Figure 31: YoY growth of TSF balance - by component



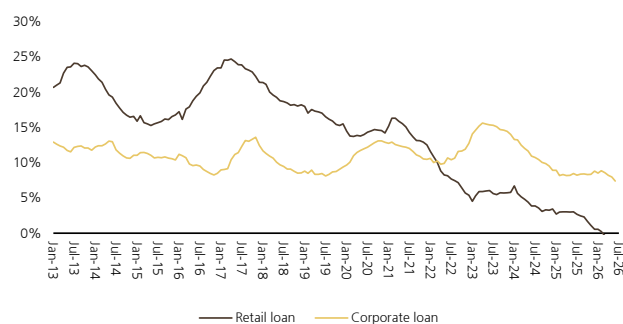
Source: CEIC

Figure 32: Breakdown of new Rmb loan



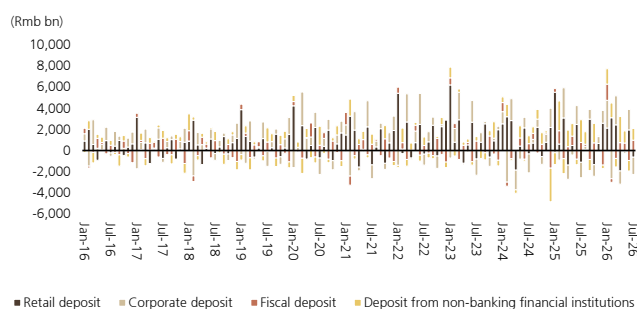
Source: Wind

Figure 33: YoY growth of outstanding Rmb loan



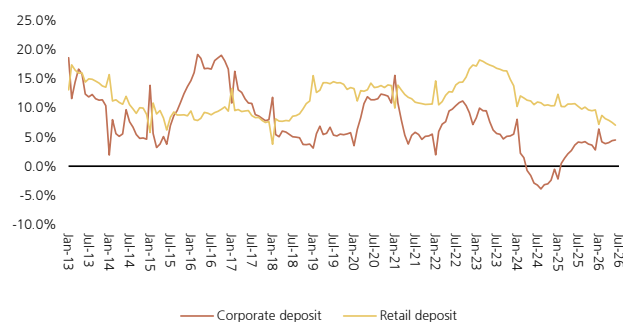
Source: Wind

Figure 34: Breakdown of new Rmb deposit



Source: Wind

Figure 35: YoY growth of outstanding Rmb deposits



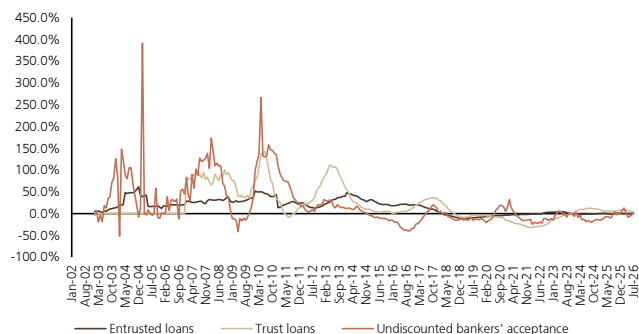
Source: Wind

Figure 36: Breakdown of off-balance sheet financing



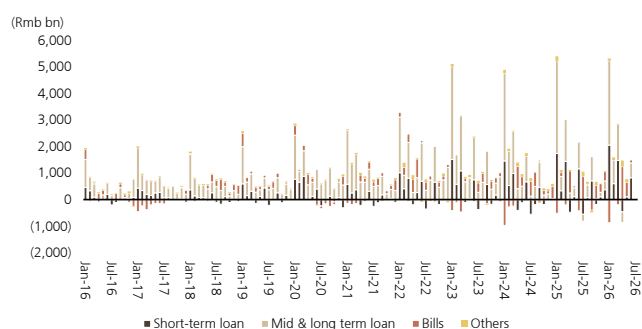
Source: CEIC

Figure 37: YoY growth of outstanding off-balance sheet financing



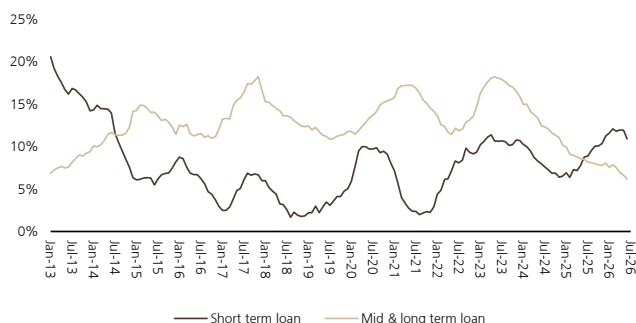
Source: CEIC

Figure 38: Breakdown of corporate loans



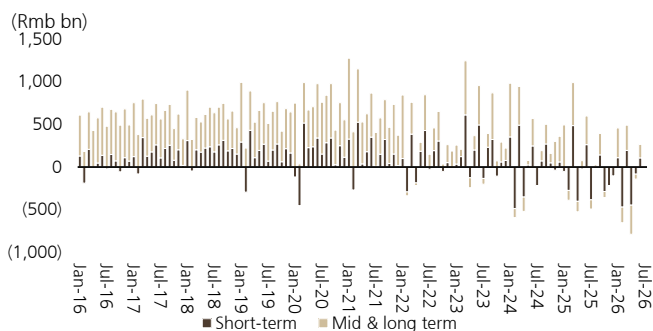
Source: Wind

Figure 39: YoY growth of outstanding corporate loans



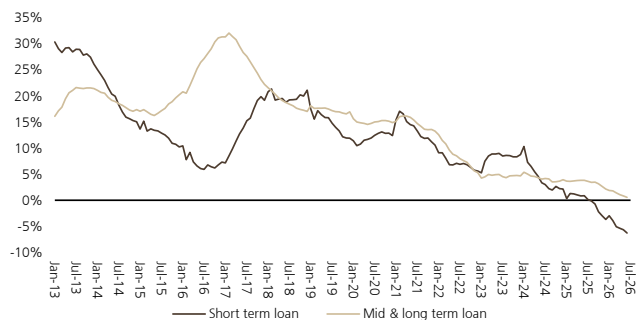
Source: Wind

Figure 40: Breakdown of retail loans



Source: Wind

Figure 41: YoY growth of outstanding retail loans



Source: Wind

Individual banks' data

Figure 42: Summary of banks' Q126 results

1Q26	Big 6 banks						Big 6	Joint-stock & regional banksbanks																		JSB	Regional banks	Sector
	ICBC	CCB	ABC	BOC	BOCOM	PSBC	avg.	CMB	CITIC	IB	PAB	MSB	HXB	BOBJ	BONJ	BONB	BOSH	BOJS	BOHZ	BOCD	BOCS	CQRCB	CSRCB	avg.	avg.	avg.		
P&L yoy growth																												
NII + net fee income	7.0%	7.8%	7.6%	7.4%	5.0%	8.6%	7.2%	5.0%	2.7%	-0.7%	0.2%	3.3%	12.6%	8.8%	29.5%	21.1%	2.4%	8.8%	15.0%	16.6%	1.8%	14.2%	6.9%	3.8%	12.5%	8.7%		
Net interest income	7.5%	8.1%	7.6%	7.8%	7.2%	7.3%	7.6%	5.0%	1.7%	-2.1%	-3.1%	2.8%	13.7%	9.6%	39.4%	14.4%	5.1%	7.3%	20.7%	17.3%	2.2%	15.1%	5.8%	3.0%	13.7%	9.1%		
Net fee income	5.2%	6.7%	7.9%	5.6%	-3.0%	16.8%	6.5%	4.9%	7.0%	7.4%	11.7%	5.9%	2.5%	1.5%	-14.6%	81.7%	-17.0%	23.8%	-11.2%	-12.0%	-1.6%	4.3%	41%	6.6%	9.6%	7.9%		
Trading gain	39%	96%	37%	13%	4%	0%	32%	-3%	25%	-3%	35%	0%	433%	40%	-19%	-26%	8%	7%	-37%	-48%	26%	-32%	6%	81.3%	-7.5%	27.4%		
Revenues	8.4%	11.0%	10.5%	8.4%	4.9%	7.6%	8.5%	4.0%	5.9%	-1.1%	4.7%	2.7%	35.3%	14.4%	13.5%	10.2%	4.3%	8.4%	4.3%	6.5%	5.6%	8.4%	6.7%	8.6%	8.2%	8.4%		
Operating expense	6.0%	3.5%	3.6%	10.6%	-2.7%	-1.2%	3.3%	2.9%	3.6%	-3.5%	5.4%	-3.1%	8.7%	-10.4%	-0.5%	-1.7%	3.1%	7.4%	-2.3%	5.7%	4.3%	-4.1%	1.2%	2.3%	0.3%	1.7%		
PPOP	9.2%	13.3%	13.2%	7.2%	9.9%	19.4%	12.0%	4.5%	6.8%	-0.3%	4.4%	5.3%	48.2%	23.5%	18.4%	15.3%	4.6%	8.7%	6.4%	6.8%	6.1%	12.9%	9.6%	11.5%	11.2%	11.5%		
Total impairments	21.5%	28.1%	29.2%	18.7%	12.5%	65.2%	29.2%	15.7%	11.6%	-0.3%	7.4%	23.3%	109%	63.0%	40.2%	21.6%	4.1%	-4.0%	-51.5%	17.0%	-1.2%	16.3%	7.2%	27.8%	11.3%	20.7%		
Pre-tax profits	2.4%	6.0%	1.3%	1.9%	8.7%	1.4%	3.6%	1.0%	3.1%	-0.2%	3.1%	-9.0%	-1.8%	7.2%	9.0%	11.5%	4.8%	15.3%	12.2%	4.3%	13.0%	12.0%	10.6%	-0.6%	10.0%	5.4%		
NPAT	3.3%	3.5%	4.5%	4.2%	3.1%	1.9%	3.4%	1.5%	3.0%	0.2%	3.0%	-9.6%	-1.5%	5.6%	8.0%	10.3%	0.7%	8.2%	10.1%	4.8%	5.8%	5.1%	11.1%	-0.6%	7.0%	3.9%		
B/S growth																												
Interbank assets YoY	-23.3%	-6.6%	28.1%	22.2%	23.6%	19.9%	10.6%	14%	-13%	83%	-12%	4%	14%	79%	67%	-19%	-2%	67%	-22%	9%	29%	-2%	-10%	15.1%	19.6%	15.9%		
Investments YoY	18.2%	21.4%	21.8%	14.7%	5.1%	13.7%	15.8%	12.5%	11.2%	-8.3%	21.3%	-0.8%	2.1%	10.0%	17.0%	16.3%	2.9%	25.8%	7.3%	7.4%	4.1%	10.0%	9.6%	6.3%	11.0%	11.1%		
Gross loans YoY	6.6%	7.1%	8.8%	8.2%	5.9%	8.3%	7.5%	4.8%	2.3%	5.8%	1.5%	0.1%	11.8%	3.4%	14.0%	15.7%	4.3%	18.9%	15.9%	10.8%	10.0%	11.5%	7.9%	4.4%	11.2%	8.3%		
Total assets YoY	8.2%	10.1%	13.9%	10.0%	6.4%	10.3%	9.8%	7.6%	3.9%	6.1%	5.0%	0.8%	7.9%	10.7%	16.0%	13.6%	3.3%	25.2%	9.6%	10.5%	8.6%	9.7%	7.8%	5.2%	11.5%	9.3%		
Interest earning assets YoY	7.8%	9.8%	13.7%	9.4%	6.7%	10.2%	9.6%	7.6%	4.1%	5.9%	4.8%	-0.1%	8.0%	11.4%	16.3%	14.7%	3.0%	24.6%	10.0%	10.3%	8.5%	-9.4%	7.8%	5.1%	9.7%	8.4%		
Customer deposits YoY	5.9%	6.5%	7.8%	6.1%	6.4%	8.2%	6.8%	6.8%	2.3%	6.3%	1.0%	-0.6%	11.2%	7.9%	10.6%	2.9%	3.6%	21.8%	12.7%	7.4%	7.9%	7.0%	6.1%	4.5%	8.8%	7.1%		
Total liabilities YoY	8.3%	10.1%	14.5%	10.1%	6.1%	10.0%	9.8%	8.1%	3.8%	6.6%	4.1%	0.2%	7.7%	11.0%	16.4%	13.9%	3.4%	26.3%	9.1%	10.1%	8.9%	10.0%	7.6%	5.1%	11.7%	9.4%		
Interbank assets QoQ	15.7%	-14.9%	-14.9%	-0.4%	22.7%	-14.9%	-1.1%	-1.6%	-22.9%	29.2%	-13.5%	-15.6%	-38.5%	1.2%	28.2%	-20.8%	20.6%	27.4%	-31.9%	14.7%	-3.0%	-10.7%	11.4%	-10.5%	3.7%	-1.5%		
Investments QoQ	5.7%	6.4%	5.0%	3.8%	2.5%	8.1%	5.3%	4.7%	4.1%	-8.2%	5.3%	-3.9%	1.1%	-1.2%	2.1%	4.5%	-2.9%	14.5%	5.1%	1.9%	1.4%	17.4%	8.7%	0.5%	5.2%	3.9%		
Gross loans QoQ	3.7%	4.2%	5.0%	4.3%	3.5%	5.0%	4.3%	2.8%	2.3%	3.5%	2.2%	2.2%	7.8%	0.8%	7.7%	9.4%	3.0%	8.9%	7.6%	4.0%	5.8%	4.1%	5.1%	3.5%	5.7%	4.7%		
Total assets QoQ	4.3%	3.3%	4.6%	3.2%	4.7%	4.4%	4.1%	3.2%	1.1%	1.7%	1.8%	0.2%	3.0%	0.2%	6.1%	6.4%	2.1%	13.2%	3.1%	5.5%	3.7%	8.0%	4.1%	1.8%	5.2%	4.0%		
Interest earning assets QoQ	4.0%	3.1%	4.6%	3.1%	4.7%	4.5%	4.0%	3.0%	1.0%	1.5%	1.5%	-0.6%	3.0%	0.3%	6.2%	6.1%	1.8%	12.5%	4.4%	5.5%	3.7%	88.0%	6.3%	1.6%	13.5%	7.6%		
Customer deposits QoQ	3.4%	5.1%	5.7%	3.8%	4.1%	4.5%	4.4%	1.2%	2.1%	1.1%	3.3%	1.5%	6.7%	4.1%	9.7%	10.9%	5.3%	16.0%	5.5%	5.1%	2.7%	7.7%	6.3%	2.6%	7.3%	5.3%		
Total liabilities QoQ	4.5%	3.4%	4.8%	3.4%	4.9%	4.8%	4.3%	3.4%	1.0%	1.7%	2.1%	0.1%	3.1%	0.0%	6.3%	6.5%	2.1%	14.0%	3.0%	5.6%	3.7%	6.3%	4.1%	1.9%	5.2%	4.0%		
Key ratios																												
ROE	8.9%	9.8%	10.8%	8.5%	9.1%	10.1%	9.5%	13.6%	11.0%	11.6%	10.6%	8.1%	5.0%	11.6%	14.3%	14.4%	10.2%	16.2%	19.4%	14.0%	12.7%	11.2%	15.4%	10.0%	13.9%	11.7%		
YoY chg (bp)	-24bp	-59bp	-25bp	-63bp	-128bp	-199bp	-83bp	-54bp	-29bp	-74bp	-66bp	-115bp	-57bp	26bp	-102bp	21bp	-49bp	-29bp	-222bp	-83bp	-15bp	-2bp	9bp	-66bp	-45bp	-61bp		
ROA	0.64%	0.74%	0.60%	0.63%	0.66%	0.54%	0.64%	1.15%	0.79%	0.85%	0.97%	0.59%	0.43%	0.66%	0.85%	0.88%	0.76%	0.83%	1.11%	0.88%	0.72%	0.93%	1.25%	0.80%	0.89%	0.79%		
YoY chg (bp)	-3bp	-6bp	-5bp	-3bp	-1bp	-4bp	-4bp	-7bp	-2bp	-5bp	-1bp	-7bp	-4bp	-5bp	-6bp	-3bp	-2bp	-13bp	-1bp	-5bp	-2bp	-4bp	2bp	-4bp	-4bp	-4bp		
Net interest margin	1.29%	1.36%	1.26%	1.26%	1.23%	1.65%	1.34%	1.83%	1.61%	1.62%	1.79%	1.43%	1.63%	1.33%	1.62%	1.73%	1.14%	1.41%	1.42%	1.66%	1.84%	1.69%	2.50%	1.65%	1.63%	1.56%		
YoY chg (bp)	-4bp	-5bp	-6bp	-3bp	0bp	-5bp	-4bp	-8bp	-4bp	-18bp	-4bp	2bp	6bp	-1bp	-29bp	-7bp	0bp	-35bp	4bp	3bp	-14bp	8bp	-11bp	-4bp	-8bp	-6bp		
QoQ chg (bp)	2bp	8bp	5bp	2bp	2bp	3bp	4bp	-3bp	-3bp	-6bp	6bp	9bp	4bp	3bp	11bp	5bp	5bp	-14bp	6bp	13bp	5bp	10bp	9bp	1bp	5bp	4bp		
Fee/revenue	18.4%	19.4%	14.6%	15.1%	16.1%	12.5%	16.0%	24.0%	16.5%	13.1%	20.9%	13.8%	6.9%	7.5%	9.2%	12.6%	6.7%	8.4%	12.0%	1.6%	8.7%	6.7%	3.2%	15.9%	7.7%	12.2%		
NPL balance QoQ	3.7%	3.6%	3.5%	3.1%	4.7%	9.9%	4.8%	2.4%	2.3%	3.0%	1.9%	0.0%	7.5%	3.2%	7.4%	9.4%	2.9%	5.6%	7.4%	3.2%	5.6%	3.2%	3.8%	2.8%	5.2%	4.4%		
NPL ratio	1.31%	1.30%	1.25%	1.21%	1.30%	0.99%	1.23%	0.94%	1.15%	1.08%	1.05%	1.46%	1.55%	1.32%	0.83%	0.76%	1.18%	0.81%	0.76%	0.68%	1.15%	1.07%	0.75%	1.20%	0.93%	1.09%		
QoQ chg (bp)	0bp	-1bp	-2bp	-2bp	1bp	4bp	0bp	0bp	0bp	-1bp	0bp	-3bp	0bp	3bp	0bp	0bp	0bp	-3bp	0bp	-1bp	0bp	-1bp	-1bp	-1bp	0bp	0bp		
NPL coverage	214%	234%	293%	203%	203%	217%	227%	388%	202%	225%	220%	142%	146%	198%	307%	369%	241%	308%	481%	424%	281%	366%	438%	220%	341%	277%		
QoQ chg (ppt)	1ppt	1ppt	0ppt	3ppt	-6ppt	-11ppt	-2ppt	-4ppt	-1ppt	-4ppt	-1ppt	0ppt	3ppt	-2ppt	-7ppt	-3ppt	-4ppt	-15ppt	-21ppt	-2ppt	0ppt	-2ppt	-13ppt	-1ppt	-7ppt	-4ppt		
LLR/Loans	2.8%	3.0%	3.7%	2.5%	2.6%	2.1%	2.8%	3.6%	2.3%	2.4%	2.3%	2.1%	2.3%	2.6%	2.5%	2.8%	2.8%	2.5%	3.6%	2.9%	3.2%	3.9%	3.3%	2.5%	3.0%	2.8%		
QoQ chg (bp)	1bp	-1bp	-5bp	1bp	-4bp	-1bp	-2bp	-5bp	-1bp	-5bp	-2bp	-5bp	4bp	3bp	-6bp	-3bp	-5bp	-20bp	-16bp	-4bp	0bp	-7bp	-14bp	-2bp	-7bp	-4bp		
Credit cost (bp)	0.89%	0.87%	1.06%	0.64%	0.61%	0.72%	0.80%	0.81%	1.09%	0.94%	0.93%	1.25%	1.73%	0.99%	1.20%	1.32%	0.91%	0.88%	0.12%	0.46%	1.55%	0.62%	0.93%	1.12%	0.90%	0.93%		
YoY chg (bp)	11bp	14bp	17bp	6bp	3bp	25bp	13bp	7bp	9bp	-5bp	6bp	24bp	82bp	35bp	23bp	6bp	1bp	-21bp	-16bp	2bp	-19bp	3bp	0bp	20bp	1bp	10bp		
QoQ chg (bp)	79bp	70bp	106bp	25bp	7bp	32bp	53bp	45bp	17bp	-9bp	-78bp	-1bp	57bp	-116bp	9bp	75bp	16bp	-15bp	-91bp	36bp	49bp	-53bp	34bp	5bp	-6bp	13bp		
CET1 CAR	13.3%	14.3%	10.8%	12.2%	11.3%	10.2%	12.0%	14.1%	9.3%	9.5%	9.5%	9.4%	9.0%	8.6%	9.2%	9.3%	10.7%	8.5%	9.6%	9.1%	10.2%	12.3%	11.4%	10.1%	9.9%	10.5%		
YoY chg (bp)	-63bp	28bp	-43bp	36bp	100bp	97bp	26bp	-73bp	-12bp	-10bp	10bp	1bp	-60bp	-5bp	28bp	-7bp	19bp	14bp	55bp	26bp	44bp	-91bp	57bp	-24bp	14bp	7bp		
QoQ chg (bp)	-31bp	-37bp	-28bp	-35bp	-18bp	-35bp	-31bp	-3bp	-15bp	-20bp	15bp	-3bp	-41bp	22bp	-18bp	-9bp	8bp	-43bp	-3bp	19bp	13bp	-42bp	-25bp	-11bp	-8bp	-15bp		

Source: Company data, UBS estimates. Note: For IB, NIM is based on UBS. NPAT refers to earnings after deducting minority interests.

Figure 43: Summary of banks' 2025 results

FY25	Big 6 banks						Big 6 avg.	Joint-stock banks					JSB avg.	Sector avg.
	ICBC	CCB	ABC	BOC	BOCOM	PSBC		CMB	CITIC	IB	PAB	MSB		
P&L yoy growth														
NII + net fee income	-0.1%	-1.7%	0.2%	-0.5%	2.2%	-0.1%	0.0%	2.6%	-0.3%	1.4%	-4.8%	1.3%	0.1%	0.0%
Net interest income	-0.4%	-2.9%	-1.9%	-1.8%	1.9%	-1.6%	-1.1%	2.0%	-1.5%	0.4%	-5.8%	1.5%	-0.7%	-0.9%
Net fee income	1.6%	5.1%	16.6%	7.4%	3.4%	16.1%	8.4%	4.4%	5.6%	7.4%	-0.9%	0.4%	3.4%	6.1%
Trading gain	40%	71%	22%	28%	1.6%	19%	30%	-20%	0%	-5%	-33%	31%	-5.4%	14.1%
Revenues	1.9%	1.7%	1.9%	4.3%	2.1%	1.9%	2.3%	-0.8%	-0.3%	0.2%	-10.4%	4.9%	-1.3%	0.7%
Operating expense	1.9%	1.5%	5.4%	8.8%	2.7%	-0.6%	3.3%	0.7%	-1.5%	0.4%	-6.6%	-0.7%	-1.5%	1.1%
PPOP	1.9%	1.8%	-0.1%	1.6%	1.6%	6.6%	2.2%	-1.6%	0.3%	0.2%	-11.9%	8.7%	-0.9%	0.8%
Total impairments	6.5%	10.2%	-3.0%	0.4%	4.1%	15.8%	5.7%	-2.6%	-4.8%	-4.3%	-17.9%	19.1%	-2.1%	2.1%
Pre-tax profits	0.6%	-1.0%	1.4%	2.1%	0.3%	3.8%	1.2%	0.2%	3.9%	3.3%	-6.5%	-5.4%	-0.9%	0.3%
NPAT	0.7%	1.0%	3.2%	2.2%	2.2%	1.1%	1.7%	1.2%	3.0%	0.3%	-4.2%	-5.4%	-1.0%	0.5%
NP to common shareholders	1.7%	1.5%	4.2%	3.5%	3.2%	0.1%	2.4%	0.7%	4.7%	-0.4%	-3.7%	-1.9%	-0.1%	1.3%
B/S growth														
Interbank assets YoY	-26.1%	28.8%	3.9%	4.2%	-9.5%	56.6%	9.6%	7.3%	13.1%	44%	10%	7.2%	16.5%	12.7%
Investments YoY	19.5%	20.7%	17.9%	15.5%	4.8%	5.9%	14.0%	12.6%	11.7%	2.8%	7.4%	1.1%	7.1%	10.9%
Gross loans YoY	7.5%	7.5%	8.9%	8.6%	6.6%	8.2%	7.9%	5.4%	2.5%	3.7%	0.5%	-0.4%	2.3%	5.4%
Total assets YoY	9.5%	12.5%	12.8%	9.4%	4.3%	9.3%	9.7%	7.6%	6.3%	5.6%	2.7%	0.2%	4.5%	7.3%
Interest earning assets YoY	9.5%	12.4%	12.6%	9.3%	4.6%	9.2%	9.6%	7.5%	6.2%	5.8%	3.5%	0.0%	4.6%	7.3%
Customer deposits YoY	7.1%	7.4%	7.7%	8.2%	5.8%	8.2%	7.4%	7.9%	4.5%	6.9%	1.4%	0.3%	4.2%	6.0%
Total liabilities YoY	9.7%	12.7%	13.5%	9.5%	3.8%	9.1%	9.7%	8.0%	6.4%	5.9%	1.9%	-0.4%	4.4%	7.3%
Key ratios														
ROE	9.5%	10.1%	10.2%	9.0%	8.4%	8.7%	9.3%	13.4%	9.5%	9.2%	9.2%	4.9%	9.2%	9.3%
YoY chg (bp)	-45bp	-68bp	-29bp	-57bp	-73bp	-120bp	-65bp	-105bp	-46bp	-73bp	-93bp	-26bp	-69bp	-67bp
ROA	0.72%	0.79%	0.63%	0.70%	0.63%	0.49%	0.66%	1.20%	0.72%	0.72%	0.73%	0.39%	0.75%	0.70%
YoY chg (bp)	-6bp	-6bp	-5bp	-5bp	-2bp	-4bp	-4bp	-9bp	-2bp	-3bp	-5bp	-3bp	-4bp	-4bp
DPS (Rmb)	0.310	0.389	0.250	0.226	0.325	0.218	0.286	2.016	0.381	1.066	0.596	0.189	0.850	0.542
YoY chg (%)	0.7%	-3.5%	3.1%	-6.6%	-14.3%	-16.6%	-6.2%	0.8%	7.4%	0.6%	-2.0%	-1.6%	1.0%	-2.9%
Net interest margin	1.28%	1.34%	1.28%	1.26%	1.20%	1.66%	1.34%	1.87%	1.63%	1.55%	1.78%	1.40%	1.65%	1.48%
YoY chg (bp)	-14bp	-17bp	-14bp	-14bp	-6bp	-20bp	-14bp	-11bp	-14bp	-6bp	-9bp	1bp	-8bp	-11bp
Fee/revenue	13.9%	14.9%	12.1%	12.5%	14.4%	8.3%	12.7%	22.7%	15.4%	12.2%	18.2%	13.1%	16.3%	14.3%
NPL balance YoY	5.2%	5.6%	6.6%	7.2%	4.8%	14.0%	7.2%	4.0%	1.1%	4.5%	-0.1%	0.8%	2.1%	4.9%
NPL ratio	1.31%	1.31%	1.27%	1.26%	1.28%	0.95%	1.23%	0.94%	1.15%	1.08%	1.05%	1.49%	1.14%	1.19%
YoY chg (bp)	-3bp	-3bp	-3bp	1bp	-2bp	5bp	-1bp	-1bp	-1bp	1bp	-1bp	2bp	0bp	0bp
NPL coverage	214%	233%	293%	200%	208%	228%	229%	392%	204%	228%	221%	142%	237%	233%
YoY chg (ppt)	-1ppt	0ppt	-7ppt	0ppt	6ppt	-58ppt	-10ppt	-20ppt	-6ppt	-9ppt	-30ppt	0ppt	-13ppt	-11ppt
LLR/Loans	2.8%	3.1%	3.7%	2.5%	2.7%	2.2%	2.8%	3.7%	2.3%	2.5%	2.3%	2.1%	2.6%	2.7%
YoY chg (bp)	-8bp	-6bp	-17bp	-4bp	4bp	-42bp	-12bp	-24bp	-10bp	-8bp	-33bp	3bp	-14bp	-13bp
Credit cost (bp)	0.46%	0.50%	0.49%	0.46%	0.64%	0.35%	0.48%	0.56%	1.00%	0.99%	1.20%	1.23%	1.00%	0.72%
YoY chg (bp)	-1bp	1bp	-6bp	-4bp	-2bp	2bp	-2bp	-5bp	-9bp	-9bp	-26bp	19bp	-6bp	-3bp
CET1 CAR	13.6%	14.6%	11.1%	12.5%	11.4%	10.5%	12.3%	14.2%	9.5%	9.7%	9.4%	9.4%	10.4%	11.4%
YoY chg (bp)	-52bp	14bp	-35bp	33bp	119bp	96bp	29bp	-70bp	-24bp	-5bp	24bp	2bp	-15bp	9bp

Source: Company data, UBS estimates. Note: For IB, NIM is based on UBSe. NPAT refers to earnings after deducting minority interests.

Valuation Method and Risk Statement

We derive our price targets for H-share China banks based on a three-stage dividend discount model (DDM). We derive our price targets for A-share China banks based on P/B to ROE valuation methodology.

We think major risks to China banks include: 1) deterioration in asset quality, underpinned by a soft macro environment and domestic property market activity; 2) risks related to capital adequacy and dilution led by refinancing; and 3) downside in interest rates and the consequent pressure on bank profitability.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Postal Savings Bank of China

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS AG Hong Kong Branch: Helen Li, CFA, May Yan. **UBS Securities Co. Limited:** Alex Ye, Catherine Yang, CFA.

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Company Name	Reuters	12-month rating	Price	Price date
Bank of China ^{2,4,16,6,7,18}	3988.HK	Buy	HK\$5.31	17 Aug 2026
Bank of Hangzhou	600926.SS	Buy	Rmb16.25	17 Aug 2026
Bank of Ningbo ⁷	002142.SZ	Buy	Rmb32.19	17 Aug 2026
China CITIC Bank ^{28,7,18}	0998.HK	Buy	HK\$7.46	17 Aug 2026
China Construction Bank ^{16,28,7,18}	0939.HK	Buy	HK\$8.90	17 Aug 2026
Industrial & Commercial Bank of China ^{16,7,18}	1398.HK	Buy	HK\$7.22	17 Aug 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Additional Prices: China Minsheng Banking, HK\$3.40 (17 Aug 2026); Agricultural Bank of China - A, Rmb6.46 (17 Aug 2026); Agricultural Bank of China, HK\$5.90 (17 Aug 2026); Chongqing Rural Commercial Bank, HK\$6.31 (17 Aug 2026); Huishang Bank, HK\$4.77 (17 Aug 2026); China Vanke - H, HK\$2.40 (17 Aug 2026); Postal Savings Bank of China, Rmb4.91 (17 Aug 2026); Bank of Communications, HK\$7.30 (17 Aug 2026); China Vanke, Rmb3.12 (17 Aug 2026); China Merchants Bank, HK\$47.82 (17 Aug 2026); Bank of Beijing, Rmb4.95 (17 Aug 2026); Bank of Communications - A, Rmb6.90 (17 Aug 2026); Industrial & Commercial Bank of China A, Rmb7.56 (17 Aug 2026); China Merchants Bank - A, Rmb38.20 (17 Aug 2026); Bank of Nanjing, Rmb11.27 (17 Aug 2026); China Minsheng Banking - A, Rmb3.41 (17 Aug 2026); Postal Savings Bank of China, HK\$4.82 (17 Aug 2026); Source: UBS. All prices as of local market close.

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